

A single number hides the risk it is built on.

What it is worth — and how likely each value is.

Lumina Renewables, a €558m Italian solar and wind operator • 50,000 simulations • six correlated drivers

MEDIAN VALUE
per share, P50
€12.46

P5 - P95
90% of outcomes
5.35–23.63

ABOVE MARKET
vs €11.50 traded
57%

WACC SHARE
of explained variance
38%

Risk one • Capital intensity → WACC

Risk two • Windfall tax 26% → 35%

BASE REVENUE

€145m

EBITDA MARGIN

42%

NET DEBT

€185m

SHARES

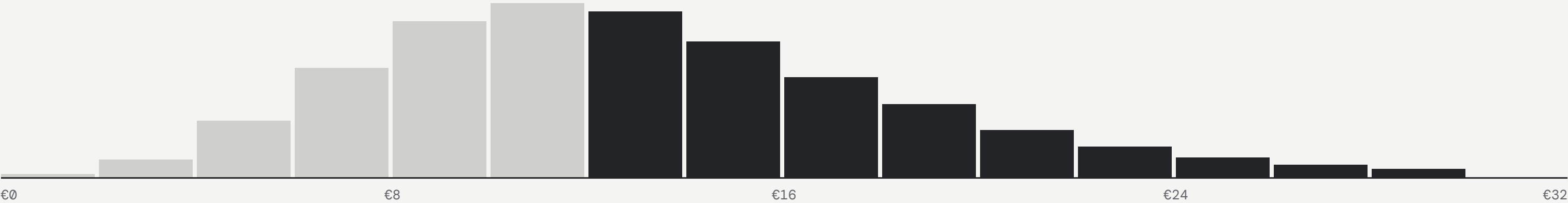
25m

MARKET PRICE

€11.50

HORIZON

5 yrs + TV



Inputs as distributions, not numbers.

Six drivers

Growth and margin drawn jointly through a Gaussian copula – good years arrive with good margins.

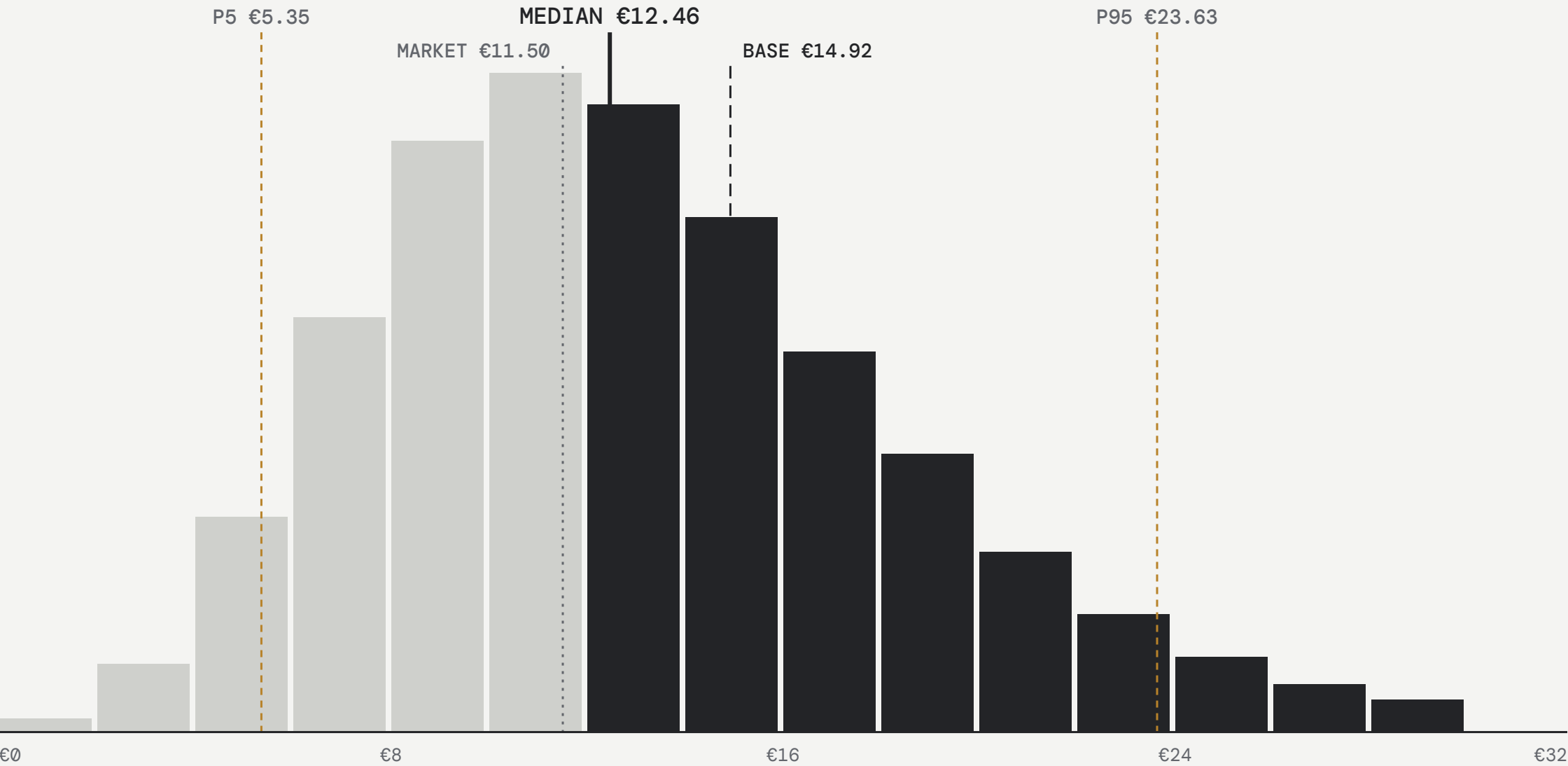
DRIVER	SHAPE	MIN - MODE - MAX	BASE	RANK CORR. W/ VALUE
Revenue growth		4.0 - 9.0 - 14.0	9.0%	+0.41
EBITDA margin		36.0 - 42.0 - 46.0	42.0%	+0.43
WACC		μ 8.50 · σ 1.10	8.50%	-0.63
Tax rate		24.0 - 26.0 - 35.0	26.0%	-0.15
Terminal growth		1.00 - 2.00 - 2.75	2.00%	+0.17
CapEx (% of revenue)		12.0 - 16.0 - 22.0	16.0%	-0.47

ITERATIONS	CORRELATION	WACC - G FLOOR	HORIZON
50,000	+0.35	1.50%	5 yrs + TV

Not a number. A shape.

Equity value per share

57% of 50,000 runs land above the traded price.



P5 · DOWNSIDE

€5.35

1 run in 20 is worse

MEDIAN

€12.46

the central outcome

P95 · UPSIDE

€23.63

1 run in 20 is better

P(> MARKET)

57%

odds of being cheap today

Why the point estimate flatters.

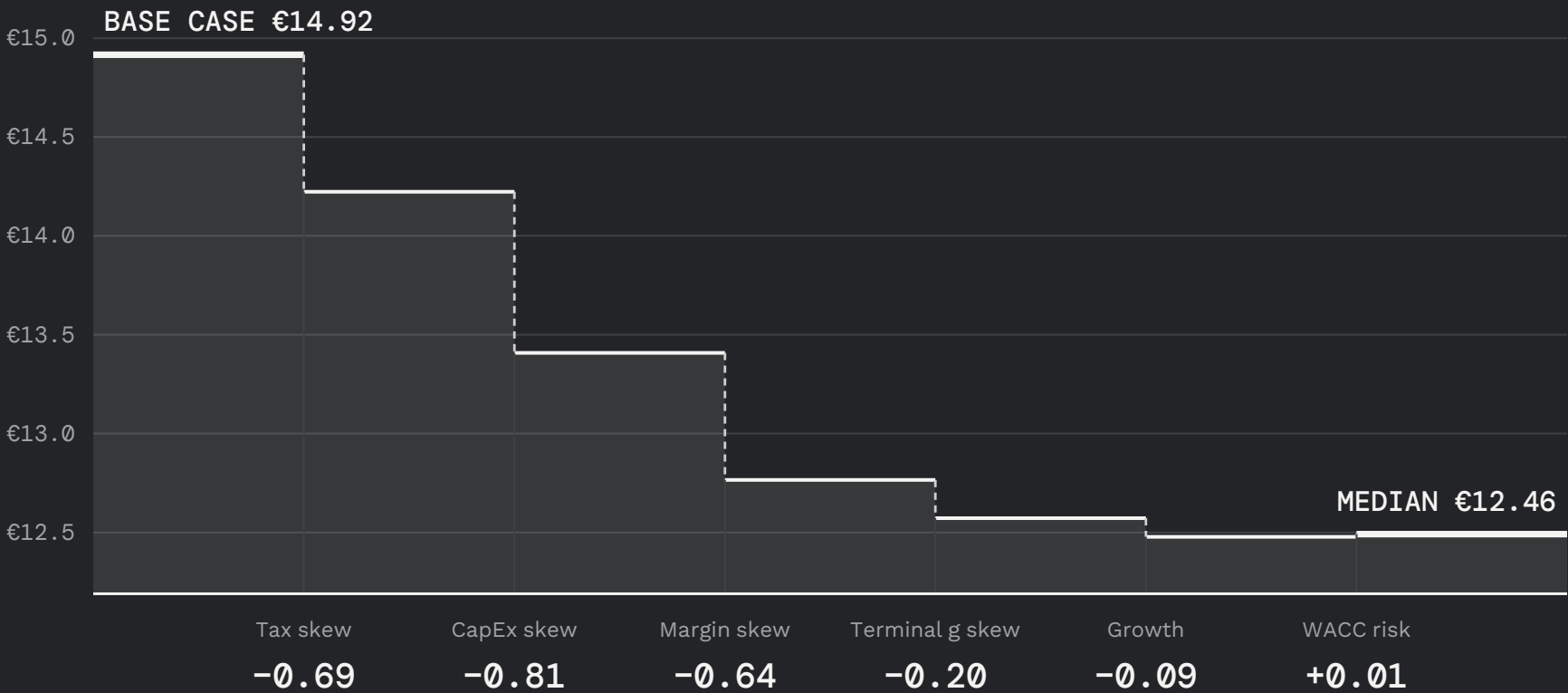
+19.7%

The deterministic base case prints **€14.92**.
The simulated median is **€12.46**.

THE MECHANISM

The mode is not the mean. Every step down is a distribution whose tail runs against value – tax to 35%, CapEx to 22%, margin to 36%. Rate risk is not the culprit: WACC adds nothing to the gap, and convex discounting even lifts the *mean* to €13.41.

FROM BASE CASE TO MEDIAN · ONE DRIVER AT A TIME

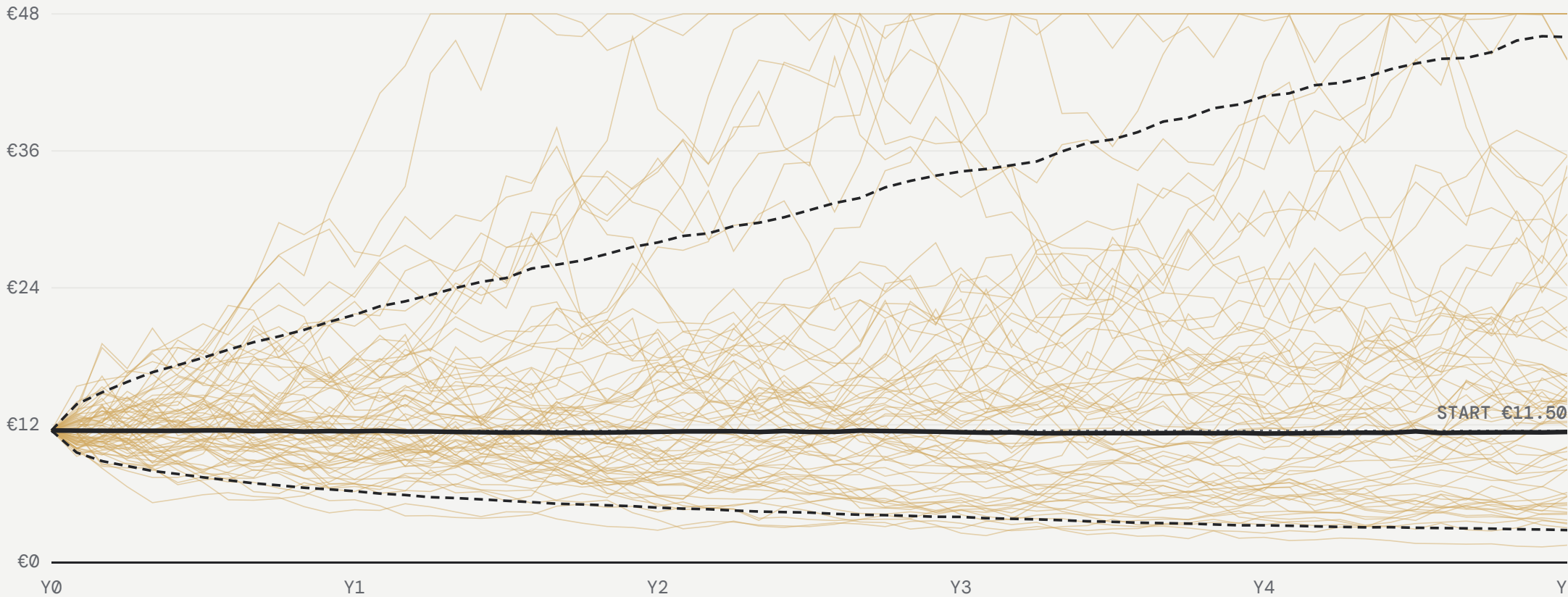


Each step adds one driver to the simulation and reports the new median · 120,000 iterations · steps reconcile to within €0.04 of the headline median.

The journey, not just the destination.

Five years of price

10,000 GBM paths · 7% drift · 38% volatility
monthly steps, all starting from €11.50



MEDIAN IN Y5

€11.37

variance drag eats the drift

P5 - P95

2.77-45.97

five-year envelope

P(DOUBLES)

20%

ends above €23.00

P(BELOW START)

51%

ends under €11.50

DELIVERABLE ONE

Excel model

Fully recalculating: assumptions, DCF, engine, sensitivity, paths.

DELIVERABLE TWO

Investment memo

The case, the distribution, the risk attribution, written up.

DELIVERABLE THREE

Live simulator

Drag an assumption, watch the distribution redraw in the browser.